CONTRACT OF LEASE (BOARDING HOUSE)

This Contract of Lease is entered into this 1st day of August 2026 in Cebu City, Philippines, by and between MARIA L. SANTOS, of legal age, Filipino, owner of Santos Boarding House, Brgy. Lahug, Cebu City (the "LESSOR"), and JUAN P. DELA CRUZ, of legal age, Filipino, student (the "LESSEE").

1. PREMISES. The LESSOR leases to the LESSEE one (1) bedspace in Room 4, 2nd Floor, Santos Boarding House, including shared use of the common kitchen and comfort room.

2. TERM. This lease shall be for a period of twelve (12) months starting August 1, 2026 until July 31, 2027. This lease shall automatically renew for another twelve (12) months unless the LESSEE gives written notice of non-renewal at least sixty (60) days before expiry.

3. RENT. The monthly rent is THREE THOUSAND FIVE HUNDRED PESOS (PHP 3,500.00), payable on or before the 5th day of each month. Rent paid after the 5th day shall incur a late penalty of PHP 200.00 per day until fully paid. Electricity and water are NOT included and shall be billed separately at rates determined solely by the LESSOR.

4. ADVANCE AND DEPOSIT. Upon signing, the LESSEE shall pay one (1) month advance rent and two (2) months security deposit, totaling PHP 10,500.00. The security deposit shall answer for unpaid bills and damages and is non-refundable if the LESSEE leaves before the end of the term for any reason.

5. EARLY TERMINATION. Should the LESSEE terminate this lease before the end of the term, the LESSEE shall forfeit the entire security deposit and shall pay the rent for the remaining months of the term as liquidated damages. The LESSOR may terminate this lease at any time with seven (7) days notice.

6. HOUSE RULES. The LESSEE shall observe a 10:00 PM curfew. Visitors are not allowed inside the rooms. Violation of house rules three (3) times shall be a ground for immediate eviction without refund of any amount paid.

7. INSPECTION. The LESSOR or her representative may enter the leased premises at any time, with or without notice, for inspection purposes.

8. MAINTENANCE FEE. The LESSEE shall pay a monthly maintenance and Wi-Fi fee of PHP 300.00, which may be adjusted by the LESSOR without prior notice.

IN WITNESS WHEREOF, the parties have signed this Contract of Lease on the date and place first above written.

MARIA L. SANTOS (Lessor) JUAN P. DELA CRUZ (Lessee)